

MARKETING ANALYSIS: THE REALREAL

Company & Market Overview

The RealReal is a luxury resale company founded in 2011 that operates a marketplace for authenticated, primarily pre-owned luxury goods. Its assortment spans women's and men's fashion, handbags and accessories, fine jewelry, watches and other luxury categories, with products from brands such as Hermès, Chanel, Louis Vuitton, Prada, Gucci, Cartier and Rolex. The company describes itself as the world's largest online marketplace for authenticated resale luxury goods.

The RealReal's value proposition addresses two barriers to secondhand luxury shopping: buyers need confidence that expensive items are authentic and accurately described, while sellers want to avoid the work of authenticating, pricing, photographing and fulfilling orders themselves. The RealReal acts as an intermediary that handles both sides, connecting sellers with a large pool of buyers.

This creates a two-sided marketplace:

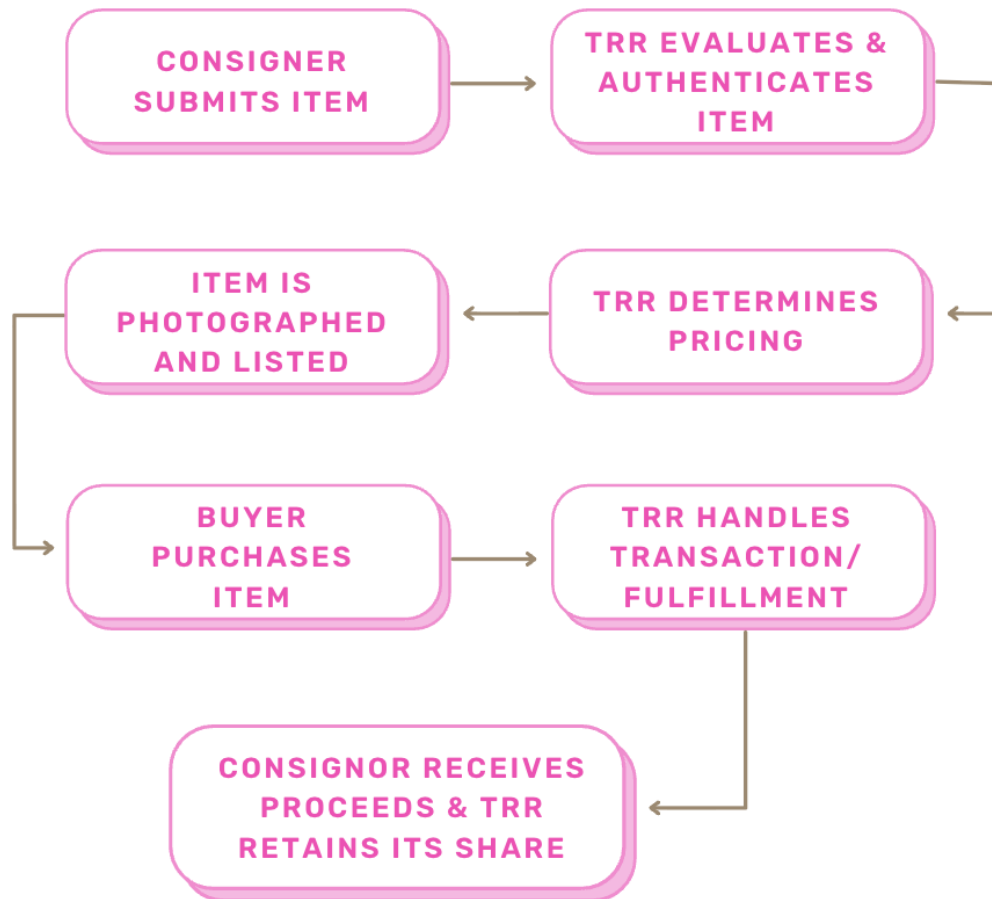
Consignors → The RealReal → Buyers

The company must therefore market to two distinct but interconnected groups: it needs to convince owners of desirable luxury goods to supply inventory while attracting buyers to purchase it. This creates a network effect—desirable supply attracts buyers, and a large, engaged buyer base attracts consignors.

How does the consignment model work?

Unlike a traditional retailer, The RealReal generally does not purchase the merchandise it sells through its core consignment business.

Instead, an individual provides an item to The RealReal while retaining ownership during the consignment process. The RealReal then evaluates and authenticates the item, determines its listing price, photographs and describes it, markets it through its marketplace and stores, processes the transaction, and fulfills the order.



The RealReal's revenue therefore differs from that of a traditional retailer. For consignment transactions, TRR acts as an agent and recognizes the portion of the transaction it retains—its "take rate"—rather than treating the entire selling price as revenue. The company also generates some direct revenue from inventory it owns, but consignment represents the substantial majority of its revenue.

One important component of its value proposition is that The RealReal does most of the work for the seller. Consignors can use options including at-home pickup, direct shipping and physical drop-off. TRR handles authentication, pricing, photography, listing and fulfillment.

This reduces the effort required compared with independently reselling an expensive handbag, watch or piece of clothing.

How does luxury resale differ from traditional luxury retail?

Luxury resale differs from traditional luxury retail in both supply model and value proposition. Traditional retailers sell new merchandise, with the brand controlling assortment, pricing, inventory, and the shopping environment. The RealReal's inventory instead comes largely from

individual consignors, so its assortment depends on what enters the secondary market—current styles alongside discontinued, rare, and vintage pieces no longer available from the original brand.

Pricing also operates differently in the resale market. While luxury brands establish retail prices as part of their broader brand and positioning strategies, resale prices are influenced by factors such as brand desirability, product condition, scarcity, consumer demand, and current market trends. The RealReal uses its marketplace data and pricing technology to determine appropriate prices for individual items.

Authentication and trust are also particularly important in luxury resale. Consumers buying directly from Hermès or Chanel can rely on the brand itself as the source of authenticity; in a secondary marketplace, The RealReal must establish that trust independently by authenticating what consignors submit. Authentication therefore becomes part of the value proposition itself, not just an operational process.

Finally, resale changes the traditional relationship between the consumer and the luxury product. A consumer can purchase an item, use it, and later return it to the luxury marketplace as a consignor. This creates a more circular model of consumption, in which luxury goods can move between multiple owners and retain economic value beyond their initial retail purchase.

TRADITIONAL LUXURY RETAIL	LUXURY RESALE / THEREALREAL
PRIMARILY NEW PRODUCTS	PRIMARILY PRE-OWNED PRODUCTS
INVENTORY SUPPLIED BY THE LUXURY BRAND	INVENTORY LARGELY SUPPLIED BY CONSIGNERS
BRAND ESTABLISHES RETAIL PRICE	PRICES RESPOND TO SECONDARY MARKET FACTORS
CURRENT COLLECTIONS DOMINATE	CURRENT, DISCONTINUED, RARE, & VINTAGE COEXIST
BRAND PROVIDES AUTHENTICITY	RESALE PLATFORM MUST ESTABLISH AUTHORITY
SUPPLY DETERMINED BY PRODUCTION	SUPPLY DEPENDS ON WHAT ENTERS RESALE MARKET
CONSUMER PURCHASES FROM BRAND	PLATFORM CONNECTS CONSIGNERS AND BUYERS
LINEAR CONSUMPTION	MORE CIRCULAR BUY – OWN – RESELL CYCLE

Market & Consumer Trends

The luxury resale market has evolved from a niche alternative to traditional luxury retail into an increasingly mainstream part of the fashion ecosystem. Changing attitudes toward secondhand goods, economic pressures, interest in vintage fashion, sustainability concerns, and consumers' desire for individuality have contributed to greater acceptance of pre-owned luxury. The RealReal's marketplace provides a particularly useful view of these changes because the company has accumulated data from more than 50 million items sold and a community of approximately 44 million members.

Secondhand Is Becoming Mainstream

One of the most significant changes in resale is the normalization of purchasing products that have already been owned. The RealReal's 2026 Resale Report cites research indicating that 93% of Americans shop for secondhand products online. More importantly for The RealReal, over half of its customer base is now composed of Gen Z and Millennials.

For younger luxury consumers, resale can therefore function as part of the normal fashion-shopping process rather than simply as a lower-cost substitute for buying new. This potentially expands The RealReal's competitive set: the company is not only competing against other resale platforms but can also compete for spending that otherwise might have gone toward new fashion.

Value Consciousness and Economic Factors

Luxury resale offers consumers access to designer products at prices that may be substantially below their original retail prices. This creates an important value proposition, particularly when consumers become more price-conscious.

However, "value" in luxury resale does not necessarily mean purchasing the least expensive product. Consumers may also evaluate whether an item is likely to retain value over time. Iconic handbags, watches, jewelry, discontinued designs and other highly sought-after products can therefore be viewed simultaneously as fashion purchases and durable goods with potential resale value.

This creates a more complex consumer decision than in conventional fashion retail. A resale shopper may consider not only:

"How much does this cost?"

but also:

"What was the original retail price?"

"Is this difficult to find?"

"What might I be able to resell it for later?"

This relationship between retail price, resale price and consumer demand creates an important opportunity for quantitative analysis later in this project.

The Growth of Vintage and Individuality

The growing popularity of vintage is another major factor influencing luxury resale. Rather than purchasing only products from current collections, consumers can use resale platforms to find discontinued pieces, past collections and designs associated with specific periods in fashion history.

The RealReal reported that demand for vintage increased 432% between 2020 and 2026, while saved searches specifying particular decades increased 135% year over year. Searches for 2000s fashion increased 93%.

Consumer searches are also becoming remarkably specific. For example, saved searches increased 650% for "Phoebe Philo Celine," 400% for "Nicolas Ghesquière Balenciaga," and 375% for "Marc Jacobs Louis Vuitton."

These behaviors suggest that some resale consumers are searching beyond the brand name itself. Designer tenure, fashion era, collection history and scarcity can become part of a product's perceived value.

Resale therefore provides something that traditional luxury retail often cannot: access to fashion's **archive**.

A current luxury boutique primarily offers the brand's present assortment. The RealReal can simultaneously carry contemporary pieces, discontinued products and items designed decades earlier. This makes discovery and individuality important components of its consumer value proposition.

Changing Attitudes Toward Condition

Resale may also be changing consumer perceptions of what constitutes an acceptable luxury product. The RealReal reported in its 2025 Resale Report that sales of items categorized as being in "Fair Condition" increased 32% during the period examined.

This is particularly interesting from a marketing perspective because traditional luxury emphasizes newness and pristine condition. Resale introduces a different value system in which age, wear, rarity and history can sometimes contribute to an item's appeal rather than automatically eliminating it from consideration.

Condition should therefore be investigated as a potential factor in resale pricing later in this project.

Sustainability and Circular Fashion

Resale also extends the usable life of existing luxury goods rather than requiring every transaction to involve production of a new item. This positions companies such as The RealReal within the broader circular-fashion economy.

The RealReal explicitly describes its marketplace as promoting the recirculation of luxury goods and contributing to a more sustainable fashion system. Earlier company research also found sustainability and extending the lifecycle of luxury goods among consumers' motivations for purchasing resale.

Sustainability should nevertheless be treated as **one motivation among several**, rather than assuming that all resale consumers shop secondhand primarily for environmental reasons. Price,

access, scarcity, fashion trends, discovery and individuality may all influence purchasing behavior.

Generational Differences

Gen Z and Millennials are particularly important to the future of luxury resale. More than half of The RealReal's current customer base falls within these generations, according to the company's 2026 reporting.

Younger consumers have also grown up in an environment where resale platforms, social media, online marketplaces and rapidly changing fashion trends coexist. This can blur the traditional distinction between "new" and "used" fashion. A consumer might purchase a new product from a luxury boutique, a vintage product from The RealReal and another secondhand product through a peer-to-peer marketplace without viewing these channels as mutually exclusive.

This behavior potentially creates a long-term opportunity for The RealReal as younger consumers increase their purchasing power.

From Consumer to Consignor

An especially important feature of The RealReal's market is that buyers and sellers are not necessarily separate populations.

As of June 30, 2026, 51% of The RealReal's consignors had also purchased on the platform during the previous twelve months, and 16% of buyers had also consigned—an interaction the company calls a "flywheel" that strengthens its marketplace.

A consumer can therefore move through a circular relationship:

Buy → Own → Consign → Earn → Buy Again

This behavior has significant marketing implications. A customer acquired as a buyer can eventually become a source of inventory, while a consignor can become a buyer. The lifetime value of a customer may consequently extend beyond their purchasing activity alone.

Marketing Implications

Taken together, these trends suggest that luxury resale is increasingly competing on more than price. Consumers can use resale to access luxury at lower prices, discover rare and discontinued products, express individuality, participate in fashion trends, extend the lifecycle of luxury goods and potentially recover value by reselling products later.

For The RealReal, this means its marketing opportunity extends beyond positioning itself as a destination for discounted designer goods. The platform can instead position resale as a distinct way of participating in luxury fashion—one centered on access, discovery, value, individuality and recirculation.

Target-Market Segmentation

The RealReal operates a two-sided marketplace, meaning its target market consists of both buyers seeking authenticated luxury goods and consignors supplying those goods to the platform. These audiences are interconnected: attracting desirable inventory makes the marketplace more appealing to buyers, while maintaining a large and active buyer base makes The RealReal more attractive to consignors.

The distinction between buyer and consignor is also fluid: at the end of 2025, 16% of buyers had also consigned and 50% of consignors had also purchased within the past year, with dual-role buyers generating 53.9% of buyer GMV.

Rather than defining its target market only by age or income, The RealReal's customers can therefore be segmented according to their motivations and behaviors.

Buyer Segments

Value-Oriented Luxury Buyers

One important segment consists of consumers who want access to desirable luxury brands but are also conscious of price and value. The RealReal specifically identifies "attractive values" as part of its strategy for attracting and retaining buyers.

For these consumers, resale can provide access to brands such as Chanel, Prada, Louis Vuitton, Hermès and Gucci without necessarily paying current retail prices. However, value consciousness should not be confused with simply seeking the lowest possible price. Some consumers increasingly consider the future resale value of a luxury purchase as part of its overall value. The RealReal's 2025 Resale Report reported that 47% of consumers consider resale value before purchasing new products.

Vintage, Trend and Individuality Seekers

Another segment uses resale for access to products that may be difficult or impossible to purchase through traditional luxury retailers. This includes vintage pieces, discontinued products, previous collections and designs associated with specific eras or creative directors.

This segment is supported by strong behavioral trends on The RealReal: vintage demand and decade-specific searches have grown sharply in recent years (see Market Trends), and saved searches have become remarkably specific, including large increases for terms such as "Phoebe Philo Celine" and "Nicolas Ghesquière Balenciaga."

For these shoppers, The RealReal's value proposition is not simply "luxury for less." The platform functions as a searchable archive of fashion history and provides opportunities for consumers to develop a style that may be difficult to replicate by shopping only current collections.

Collectors and Value-Retention Shoppers

Some consumers may approach luxury goods partly through the lens of long-term value. This segment is particularly relevant to handbags, fine jewelry and watches, where certain products can retain a substantial portion of their original value or experience increases in resale prices.

The RealReal's 2025 data showed rising resale values for products including the Rolex Datejust, Goyard Saint Louis tote, Van Cleef & Arpels Alhambra jewelry, Hermès Birkin 30 and Louis Vuitton Speedy.

These shoppers may therefore consider factors such as scarcity, brand equity, historical resale performance and future desirability alongside aesthetics when making purchase decisions.

Sustainability and Circular-Fashion Consumers

Another potential segment consists of consumers attracted to resale because it extends the lifecycle of existing luxury products. The RealReal positions recirculation and sustainability as part of its business model and identifies increasing consumer interest in sustainability as one of the trends supporting luxury resale.

Sustainability should not, however, be assumed to be the primary motivation of every resale customer. Price, exclusivity, access to vintage products, fashion trends and investment value can coexist with environmental motivations.

Consignor Segments

The supply side of The RealReal's marketplace requires a different form of segmentation. While buyers are primarily evaluating what they want to acquire, consignors are deciding whether the financial return and convenience of selling through The RealReal outweigh alternative options such as keeping the product or selling it independently.

High-Value and Repeat Consignors

Repeat consignors are particularly important because they provide a continuing source of desirable inventory. In both 2024 and 2025, repeat consignors accounted for more than 80% of The RealReal's GMV. The company therefore invests in sales professionals who build consultative relationships with consignors and source high-quality luxury goods across categories including fashion, handbags, jewelry and watches.

This group is especially valuable because The RealReal does not manufacture its own inventory. Maintaining relationships with consumers who regularly own and sell desirable luxury products is consequently essential to maintaining marketplace supply.

Wardrobe-Reinvestment Consignors

Some consumers may sell products not simply to generate cash, but to finance future fashion purchases. Earlier generational research from The RealReal found wardrobe reinvestment to be a motivation among both Millennials and Gen X consignors.

This behavior is particularly compatible with The RealReal's marketplace flywheel:

Purchase → Own → Consign → Receive proceeds → Purchase again

A consumer who participates in this cycle is potentially more valuable to the company than someone who completes only a single transaction.

Occasional Closet Sellers

Another segment consists of consumers who own luxury products they no longer use and want a convenient method of converting those items into cash. These sellers may consign infrequently and may be less knowledgeable about resale pricing or the selling process.

The RealReal's full-service model is particularly relevant to this segment because the company handles authentication, pricing, photography, listing, shipping and customer service.

For these consumers, the central value proposition may therefore be convenience rather than maximizing the selling price.

Generational Segmentation

Age remains relevant, but it should be considered alongside these behavioral segments rather than used as the sole basis for defining The RealReal's customer.

Gen Z and Millennials now represent more than half of The RealReal's customer base. However, luxury resale extends across generations. Earlier company research found increasing participation in resale among Gen Z, Millennials, Gen X, Baby Boomers and the Silent

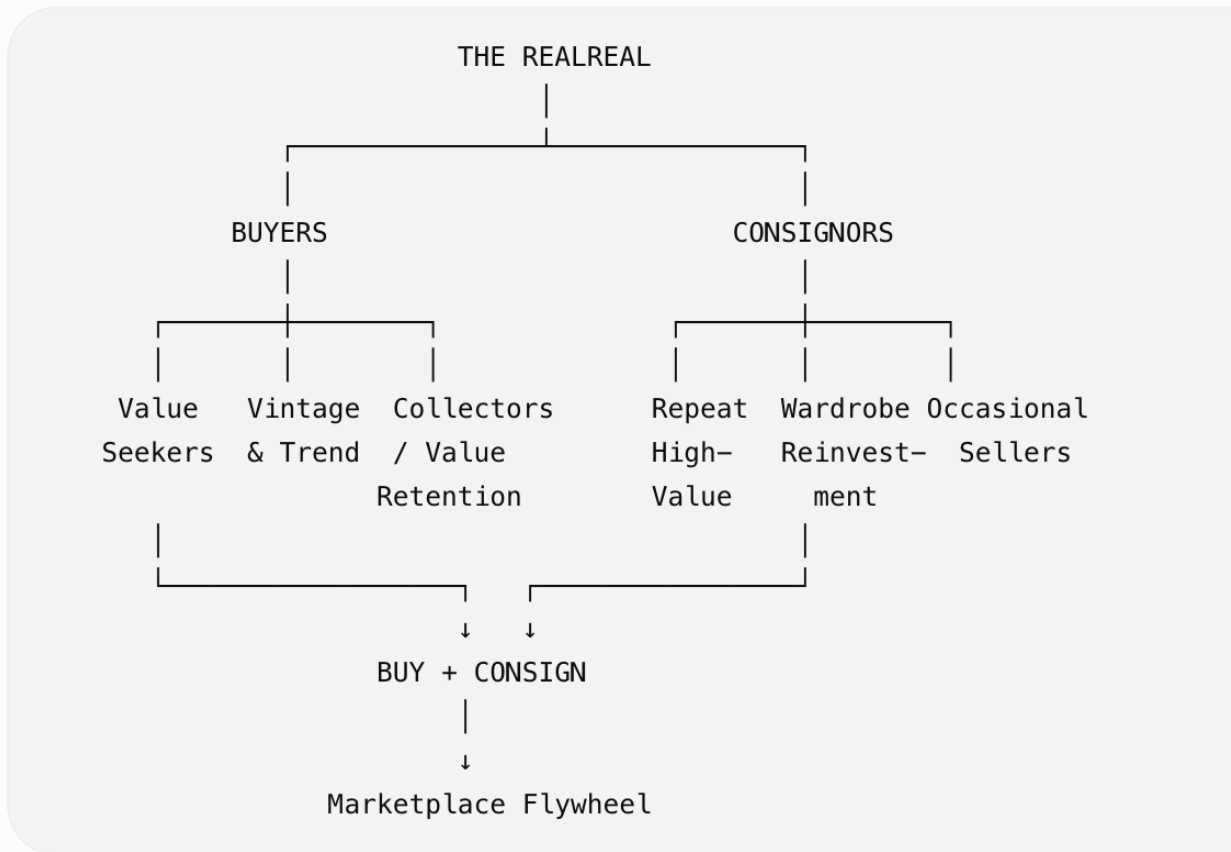
Generation, with different generations demonstrating different motivations and product preferences.

This suggests that The RealReal's target market is better understood through a combination of generation, purchasing behavior, product preferences and motivation rather than a single demographic profile.

Target-Market Summary

The RealReal's target market can ultimately be understood as an ecosystem rather than a single consumer segment. On the demand side, the platform serves value-conscious luxury shoppers, vintage and individuality seekers, collectors and value-retention shoppers, and consumers interested in circular fashion. On the supply side, it serves high-value repeat consignors, wardrobe-reinvestment sellers and occasional consumers seeking a convenient way to monetize luxury products they no longer use.

The most strategically valuable customer may be one who moves between both sides of the marketplace. A customer who buys, owns, consigns and purchases again simultaneously contributes demand and future supply, strengthening the marketplace's flywheel and potentially increasing customer lifetime value.



Competitive Analysis

The luxury resale market includes several different types of competitors, ranging from specialized luxury resellers to broad peer-to-peer marketplaces. The RealReal competes most directly with luxury-focused platforms such as Vestiaire Collective, Fashionphile, and Rebag, while broader marketplaces such as eBay and Poshmark compete for consumers who are comfortable buying and selling designer products more independently.

Although these companies all participate in resale, they differ significantly in their **business models, degree of luxury specialization, authentication processes, assortment, pricing control, and level of seller involvement**.

The RealReal

The RealReal differentiates itself through a **full-service consignment model**. Consignors send or deliver merchandise to The RealReal, after which the company evaluates, authenticates, prices, photographs, lists, and fulfills the item. The consignor retains ownership while the item is consigned, but The RealReal controls the listing price unless otherwise agreed. (therealreal.com)

Authentication is particularly central to The RealReal's positioning. The company states that every item is authenticated through a process combining human expertise with AI, machine learning and proprietary technology. Its pricing process also considers factors such as demand, scarcity, market trends, and item condition. (therealreal.com)

The company's broad assortment distinguishes it from some specialized luxury resellers. Rather than focusing primarily on handbags, The RealReal sells designer apparel, handbags, shoes, accessories, jewelry, watches, art, and home products.

This positions The RealReal as a **high-service, luxury-specialized resale platform with broad product assortment**.

Vestiaire Collective

Vestiaire Collective is one of The RealReal's closest competitors because it also specializes in pre-owned designer and luxury fashion. However, its marketplace model places greater responsibility on individual sellers.

Sellers generally create their own listings, photograph their products, and set their own prices. Vestiaire operates across more than 80 countries, giving its marketplace a particularly international assortment. (vestiairecollective.com)

Its authentication process also differs from The RealReal's model. Items purchased using Vestiaire's Authenticated Shipping are routed through a Vestiaire facility, where experts perform authentication and quality-control checks before forwarding approved products to buyers. (faq.vestiairecollective.com)

Vestiaire therefore provides sellers with **greater control over their listings and pricing**, whereas The RealReal emphasizes convenience by performing more of the selling process on behalf of the consignor.

Fashionphile

Fashionphile competes particularly strongly in **ultra-luxury handbags, accessories, jewelry, and watches**. Its selling model differs significantly from The RealReal's traditional consignment model because Fashionphile provides sellers with upfront buyout offers. Sellers can submit an item online, in person, or through its Luxury Sales service and receive payment after the item is received and authenticated. (fashionphile.com)

This creates a different value proposition for sellers. A The RealReal consignor generally waits until an item sells before receiving proceeds, while a Fashionphile seller can prioritize **speed and certainty of payment** by accepting an upfront offer.

Fashionphile also strongly emphasizes authentication. Every ultra-luxury item it receives undergoes a multi-step authentication process, and products sold by the company include a digital Certificate of Authenticity backed by a lifetime authenticity guarantee. ([fashionphile.com](https://www.fashionphile.com))

Compared with The RealReal's broad fashion assortment, Fashionphile is therefore positioned more narrowly around **high-value luxury accessories and a high-touch resale experience**.

Rebag

Rebag similarly specializes in luxury resale but differentiates itself through its emphasis on **technology-driven valuation and immediate selling options**.

Its proprietary CLAIR technology allows consumers to identify eligible products and receive estimates or offers based on characteristics such as brand, model, material, and condition. Rebag states that its valuation system uses proprietary resale data, while its offer calculations consider variables including brand, condition, size, color, material, popularity, inventory, and resale performance. ([rebag.com](https://www.rebag.com)) ([rebag.com](https://www.rebag.com))

Products are also evaluated by Rebag's authentication specialists before being approved for sale. ([rebag.com](https://www.rebag.com))

Rebag is especially relevant to The RealReal from a data perspective because both companies use extensive resale-market information to determine product value. However, Rebag's consumer-facing valuation technology makes **price transparency and instant valuation** a particularly visible component of its positioning.

eBay

eBay represents a different type of competitor. Rather than specializing exclusively in luxury fashion, it operates a massive general marketplace in which individual sellers generally create listings and determine prices.

However, eBay has expanded its credibility in luxury resale through its **Authenticity Guarantee** program. In the United States, eligible handbags and accessories from selected brands priced at \$500 or more receive expert physical authentication at no additional charge. Eligible products between \$200 and \$499.99 can also receive authentication as an add-on service. ([ebay.com](https://www.ebay.com))

eBay therefore offers potentially enormous assortment and significant seller control, but the overall experience is less consistently luxury-focused than The RealReal. Authentication also applies to eligible products rather than functioning as the central value proposition across the entire marketplace.

Poshmark

Poshmark is another broad resale marketplace competing for consumers interested in both mainstream and designer fashion. Individual users create listings, determine prices, interact with buyers, and generally manage the selling process themselves.

For luxury purchases, Poshmark offers **Posh Authenticate**. Eligible luxury items priced at \$500 or more are routed through Poshmark's authentication process before being delivered to the buyer. (poshmark.com)

Like eBay, however, Poshmark is not exclusively a luxury marketplace. Its assortment spans fashion, beauty, home products, and other categories across a much wider range of price points. (poshmark.com)

This makes Poshmark particularly relevant as an alternative for sellers who want greater control and a more do-it-yourself selling experience, whereas The RealReal removes much of that responsibility from the consignor.

Dimension	The RealReal	Vestiaire	Fashionphile	Rebag	eBay	Poshmark
Luxury specialization	High	High	Very high	Very high	Low–Medium	Low–Medium
Assortment breadth	Very broad	Very broad	More focused	More focused	Extremely broad	Extremely broad
Seller involvement	Low	High	Low	Low	High	High
Platform controls listing	High	Low	High	High	Low	Low
Authentication emphasis	Central	Strong	Central	Central	Eligible items	Eligible luxury items
Primary seller model	Consignment/full service	Marketplace	Upfront offer	Offers + resale options	Marketplace	Marketplace
Luxury shopping environment	High	High	Very high	High	Low	Low
International marketplace	More U.S.-centered	Strong	More U.S.-centered	More U.S.-centered	Strong	Varies

The classifications above are analytical comparisons rather than ratings published by the companies.

Competitive Positioning

The RealReal occupies an important middle ground in the resale market. It combines the **curation, authentication, and service associated with specialized luxury resellers** with a product assortment that extends substantially beyond handbags and accessories.

Its primary competitive advantage for consignors is convenience. Unlike peer-to-peer platforms, sellers do not need to independently photograph products, write listings, determine pricing, communicate with buyers, or manage fulfillment. In exchange, consignors surrender some control over pricing and the selling process.

For buyers, The RealReal competes through a combination of **authentication, assortment, discovery, trust, and access to products across multiple periods of fashion history**.

The competitive landscape therefore reveals an important strategic trade-off:

Seller control ←————→ **Full-service convenience**

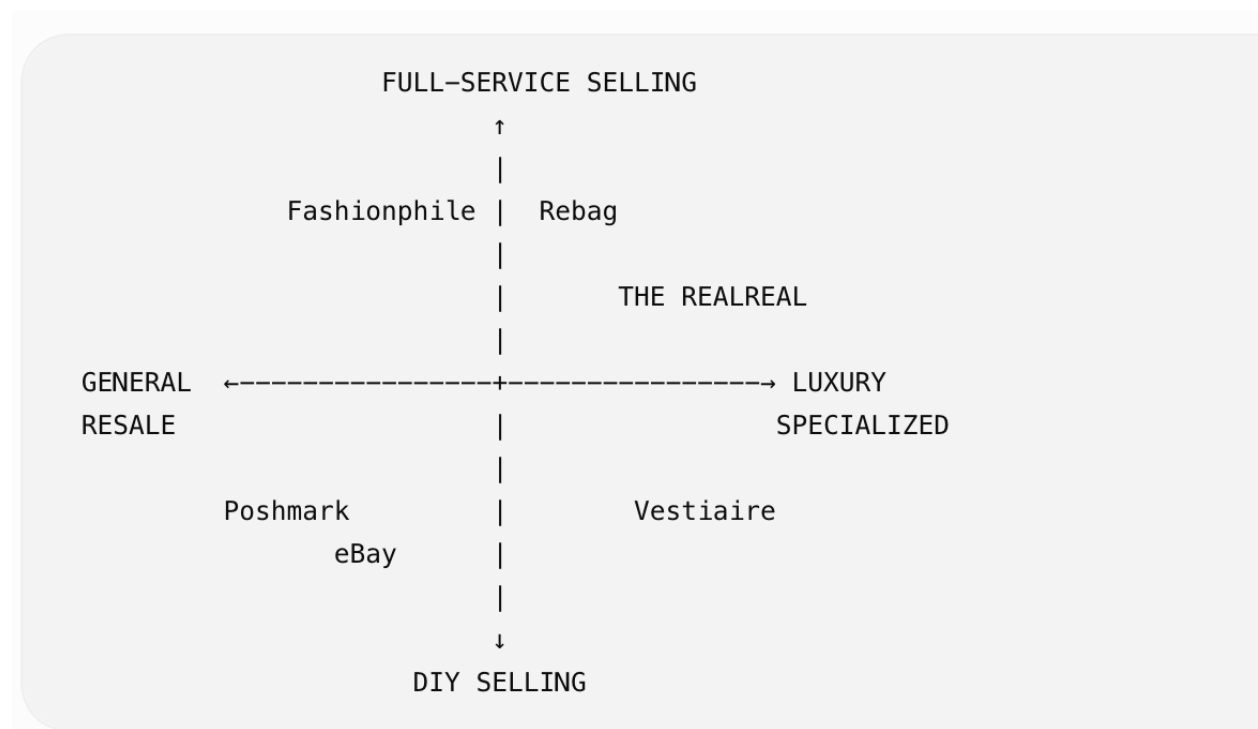
Platforms such as eBay, Poshmark, and Vestiaire Collective generally sit closer to the seller-control side, while The RealReal, Fashionphile, and Rebag sit closer to the full-service side.

A second distinction is:

General resale ←————→ **Luxury specialization**

eBay and Poshmark occupy the broader resale end of this spectrum, while The RealReal, Vestiaire Collective, Rebag, and Fashionphile are positioned much more strongly around luxury.

Together, these dimensions help explain The RealReal's positioning as a **full-service, authenticated luxury resale destination with a particularly broad assortment**.



Marketing Mix (4Ps)

The RealReal's marketing mix differs from a traditional retailer's because the company does not manufacture most of what it sells. Instead, it creates value by transforming previously owned luxury goods into an authenticated, curated, convenient resale experience—so its marketing

strategy extends beyond the physical merchandise to authentication, pricing expertise, discovery, convenience, and trust.

Product

At the most visible level, The RealReal's product is its assortment of pre-owned luxury goods. The marketplace includes women's and men's fashion, handbags, shoes, accessories, fine jewelry, watches, art, home goods, and other products from luxury and designer brands.

However, the physical item represents only one component of The RealReal's overall product offering. The company also provides a collection of services that reduce the uncertainty and inconvenience associated with buying and selling luxury goods.

For buyers, this expanded product includes:

- authenticated luxury merchandise;
- access to current, discontinued, rare, and vintage products;
- a curated shopping and discovery experience;
- information about product condition and characteristics; and
- greater confidence when purchasing luxury goods on the secondary market.

For consignors, the product is effectively a **managed resale service**. The RealReal handles activities that sellers would otherwise need to complete themselves, including authentication, photography, measurements, copywriting, pricing, customer service, storage, and fulfillment. The company explicitly contrasts this full-service experience with do-it-yourself resale and estimates that its process requires substantially less seller involvement.

Authentication is therefore not simply an operational function; it is an important component of the product and brand experience. The RealReal combines specialist expertise, proprietary data, technology, and artificial intelligence within its authentication processes.

The RealReal's broader product can therefore be understood as:

Luxury Item + Authentication + Curation + Discovery + Convenience + Trust

This combination allows the company to differentiate itself from peer-to-peer marketplaces where buyers and sellers assume more responsibility for verifying products, creating listings, setting prices, and managing transactions.

Price

Pricing is one of the most distinctive elements of The RealReal's marketing mix because the company cannot rely on standardized retail prices for its primarily one-of-a-kind inventory.

The RealReal evaluates more than 170 attributes when pricing an item—condition, material, collection year, demand, and availability among them—combining historical and real-time data, proprietary models, and human expertise, with pricing models optimized to sell within roughly 90 days.

The company's broader filings confirm that machine learning and data analytics are used throughout operations, including **pricing, merchandising, authentication, supply sourcing, and marketing**. Its marketplace has generated hundreds of millions of data points from more than 50 million item sales, providing a substantial historical dataset for these systems.

Pricing is also dynamic. An item can initially be listed at the highest price The RealReal believes the market will support and later be adjusted based on engagement and demand. Its pricing systems consider signals such as resale-market trends, search behavior, comparable items, demand, scarcity, and condition.

This creates an important distinction between **primary-market luxury pricing and resale pricing**. A luxury house can establish a retail price partly based on its desired brand positioning. The RealReal must estimate what the secondary market is currently willing to pay for an individual product.

Price also affects the consignor side of the marketplace. Consignors receive a portion of the final selling price, with commission structures varying by factors including product category, selling price, and loyalty status. The company uses higher potential payouts and loyalty benefits to encourage consumers to consign desirable merchandise.

Pricing therefore serves two objectives simultaneously:

Buyer objective: offer a compelling value relative to the item's desirability and alternatives.

Consignor objective: generate a sufficiently attractive return to encourage owners to supply inventory.

Balancing these interests is particularly important in a two-sided marketplace.

Place

The RealReal primarily operates as a digital marketplace, allowing buyers to browse and purchase luxury products online while providing consignors with several methods of submitting merchandise.

Its distribution strategy, however, is **omnichannel rather than purely e-commerce**. Accepted consigned items can be offered through The RealReal's website and, at the company's discretion, displayed for purchase within its physical retail locations.

Physical locations also serve functions beyond traditional retail. Consumers can interact with experts, learn about pricing and authentication, receive estimates, and drop off luxury goods for consignment. For example, The RealReal's San Francisco store allows consumers to shop while also meeting specialists and submitting luxury bags, watches, and jewelry for evaluation.

For consignors, the company provides several ways to move products into the marketplace, including shipping items, dropping them off, and—in eligible markets—using pickup or in-home services.

This makes "place" particularly interesting because physical stores perform roles on **both sides of the marketplace**:

Buyer side: shopping + discovery + physical luxury experience

Consignor side: inventory acquisition + consultation + drop-off

The RealReal's distribution system therefore connects digital commerce, physical retail, logistics, authentication centers, and consignment services into a single marketplace.

Promotion

The RealReal must promote two different behaviors: **buying luxury products and supplying luxury products for resale**. Its promotional strategy consequently targets both buyers and consignors.

The company's advertising includes digital media, direct mail, television, and other acquisition channels. The RealReal measures buyer acquisition cost using advertising spending aimed at both buyers and consignors and states that it reallocates advertising in real time across channels, demographics, and geographies to improve return on advertising spend.

Its promotional messaging also reinforces several recurring components of the brand's value proposition, including:

Authenticity — emphasizing confidence in purchasing secondhand luxury;

Value — providing access to desirable luxury products through the secondary market;

Convenience — positioning consignment as easier than independently selling luxury goods;

Discovery — offering rare, vintage, discontinued, and one-of-a-kind merchandise;

Circularity — extending the lifecycle of luxury products; and

Expertise — emphasizing authentication, pricing knowledge, and luxury specialists.

Promotions also play an important role in acquiring inventory. The company periodically offers site credit, enhanced commission opportunities, referral incentives, and other benefits to encourage consumers to consign. For example, its current September 2026 promotion offers eligible first-time sellers site credit for qualifying consignments, demonstrating how promotional incentives can be used specifically to increase marketplace supply.

The RealReal also uses its **RealReal Rewards** program to encourage continued consigning, offering benefits tied to selling activity and loyalty status.

For buyers, the company offers **First Look**, a paid membership that provides 24-hour advance access to sales and invitations to monthly promotions. This introduces elements of exclusivity and urgency that are particularly compatible with a marketplace where many products are one-of-a-kind.

Marketing Mix Summary

The RealReal's 4Ps demonstrate that the company is marketing more than secondhand luxury merchandise. Its competitive offering is built around a combination of **product access, authentication, data-driven pricing, convenience, trust, discovery, and marketplace liquidity**.

The four elements are also highly interconnected:

Product provides authenticated and curated luxury goods.

Price uses marketplace data and predictive technology to estimate what individual products are worth.

Place connects online commerce with physical retail, consignment services, and logistics.

Promotion must simultaneously generate buyer demand and encourage consignors to provide desirable inventory.

This interconnected system is particularly important because The RealReal does not control product manufacturing. Its success depends instead on its ability to attract desirable supply, accurately value that supply, establish consumer trust, and efficiently match individual luxury products with interested buyers.

Brand Positioning & Value Proposition

The RealReal positions itself at the intersection of **luxury, resale, trust, convenience, and discovery**. Unlike a traditional luxury retailer, the company does not create the majority of the

merchandise it sells. Its brand value therefore depends on the experience and services it builds around pre-owned luxury goods: authentication, curation, pricing expertise, convenience, and access to a large resale marketplace.

The company describes its marketplace as a "trusted, curated" destination for authenticated resale luxury goods. This emphasis on trust is particularly important because luxury resale introduces risks that are less prominent when consumers purchase directly from a luxury brand, including uncertainty about authenticity, condition, previous ownership, and appropriate market value. ([sec.gov](#))

The RealReal must therefore create value for two distinct audiences: **buyers and consignors**.

Buyer Value Proposition: Why Buy from The RealReal?

A consumer considering a \$3,000 pre-owned handbag faces a different purchasing decision than a consumer buying directly from a luxury boutique. The product may have had a previous owner, may no longer be available from the original brand, and may be offered by multiple resale platforms at different prices and conditions.

The RealReal's buyer value proposition is based on reducing this uncertainty while providing access to a large and constantly changing assortment of luxury goods.

Authentication and Trust

Authentication—the same human-plus-AI process described earlier—is central to this positioning, with specialized categories evaluated by professionals such as gemologists and horologists. ([therealreal.com](#))

This differentiates the buying experience from less controlled resale environments where consumers may have greater responsibility for determining whether an individual seller and product are trustworthy.

The company itself recognizes that trust is fundamental to its brand. Its 2025 annual report states that maintaining the brand requires buyer trust in authentication as well as reliable fulfillment and effective customer service. ([sec.gov](#))

Access and Value

The RealReal also gives consumers access to luxury goods at secondary-market prices. The company describes its buyer proposition as offering highly coveted authenticated luxury goods at attractive values while maintaining an experience appropriate for luxury products. ([sec.gov](#))

For some consumers, this can make brands or products accessible at prices below current retail. However, value in resale does not necessarily mean "cheap." Rare, vintage, discontinued, or highly desirable products may command substantial resale prices.

Discovery and Assortment

The RealReal also provides something a traditional luxury boutique cannot easily replicate: access to products spanning different brands, collections, designers, and periods of fashion history within one marketplace.

A Chanel boutique primarily offers Chanel's current assortment. The RealReal can simultaneously offer Chanel alongside Hermès, Prada, Louis Vuitton, Gucci, Dior, Saint Laurent, and thousands of other designers, including pieces that are vintage or no longer produced.

The value proposition is therefore partly one of **discovery**. Consumers can search across brands and periods rather than being restricted to the current assortment of a single luxury house.

Consignor Value Proposition: Why Sell Through The RealReal?

The value proposition is different for the individual supplying the merchandise.

A luxury owner who wants to sell a handbag independently may need to research its value, determine an asking price, photograph it, write a description, establish credibility with buyers, answer questions, negotiate, process payment, package the product, and arrange shipping.

The RealReal's primary consignor proposition is:

We do the work for you.

The company handles authentication, pricing, photography, copywriting, listing, customer service, storage, selling, and fulfillment. It also provides multiple ways for consignors to submit merchandise, including shipping, drop-off, and consultation or pickup services in eligible markets. ([sec.gov](https://www.sec.gov))

Convenience therefore becomes one of The RealReal's strongest differentiators against peer-to-peer selling.

Marketplace Reach

Consignors also gain access to an established audience of luxury shoppers. Rather than having to independently find a buyer for a particular item, a consignor can place it within a marketplace built specifically around consumers searching for designer and luxury goods.

This matters because the value of a resale platform is partly determined by its ability to match supply with demand. In 2025, The RealReal reported that approximately 50% of products sold within 30 days of listing and that its marketplace sell-through ratio exceeded 80%. ([sec.gov](#))

Pricing Expertise

Consignors also benefit from The RealReal's pricing data. Rather than independently estimating value, sellers can rely on the company's transaction data from more than 50 million items sold. The RealReal uses this information to balance pricing, consignor earnings, and the speed at which products sell. ([sec.gov](#))

This creates another form of value: **reducing information asymmetry**. A casual seller may have little idea what a five-year-old Prada bag should currently sell for, while a resale platform can draw from historical transactions and current marketplace demand.

The Trade-Off

The RealReal's value proposition does involve a trade-off.

A consignor could potentially retain more control by selling independently through a marketplace such as eBay or Poshmark. Doing so allows the seller to determine the asking price, create the listing, negotiate with buyers, and manage the transaction.

With The RealReal, the consignor gives up some of this control and pays for the service through the portion of the sale retained by the platform.

The decision can therefore be framed as:

Independent selling:

More control + potentially greater share of selling price + more work and responsibility

The RealReal:

Less control + platform commission + authentication + pricing expertise + marketplace reach + convenience

The RealReal is consequently most compelling for consumers who value **convenience and expertise enough to outsource the selling process**.

Trust as the Foundation of the Brand

Trust connects both sides of The RealReal's marketplace.

For buyers, trust means confidence that an expensive secondhand product has been properly authenticated, accurately represented, reliably fulfilled, and supported by an established business.

For consignors, trust means confidence that The RealReal will appropriately handle, price, market, sell, and account for valuable personal property.

The company explicitly identifies establishing and maintaining trust among consignors, buyers, and brand partners as an important goal of its brand strategy. It also acknowledges that failures involving authentication, fulfillment, customer service, or the consignor experience could damage the value of the brand. ([sec.gov](https://www.sec.gov))

Trust therefore operates as more than a promotional message. It is a **core economic component of the marketplace**. Without buyer trust, demand for expensive pre-owned products could decline. Without consignor trust, desirable inventory could move to competing resale channels. Both outcomes would weaken the marketplace.

Positioning Statement

The RealReal's positioning can be summarized as:

For consumers who want to buy or sell luxury goods through the secondary market, The RealReal provides an authenticated, curated, and full-service luxury resale experience that combines marketplace access with authentication expertise, data-driven pricing, convenience, and discovery.

This positioning distinguishes The RealReal from two different competitive groups. Compared with traditional luxury boutiques, it provides greater access to pre-owned, vintage, discontinued, and cross-brand merchandise at secondary-market prices. Compared with peer-to-peer resale platforms, it provides greater authentication, curation, pricing support, and seller convenience.

The RealReal is therefore not positioned simply as a place to purchase "used designer goods." Its broader value proposition is to make **luxury resale feel trustworthy, convenient, and consistent with the expectations associated with luxury consumption itself.**

SWOT Analysis

The RealReal operates in an attractive but complex position within the luxury market. Growth in resale, changing consumer attitudes toward secondhand fashion, and the company's extensive marketplace data create significant opportunities. At the same time, its business model depends heavily on consumer trust, access to desirable luxury inventory, effective authentication, and its ability to compete with both specialized luxury resellers and large peer-to-peer marketplaces.

Strengths

Established Position in Authenticated Luxury Resale

With more than **44 million members and over 50 million items sold**, it holds a substantial base of transaction history and marketplace data. (investor.therealreal.com)

This scale can reinforce the company's marketplace flywheel: a large audience makes the platform attractive to consignors, while desirable inventory gives consumers reasons to return to the marketplace.

Authentication and Luxury Expertise

Authentication remains one of The RealReal's most important competitive capabilities, and one that general resale marketplaces typically lack. (therealreal.com)

This capability helps reduce one of the major uncertainties associated with purchasing high-value products through the secondary market.

Full-Service Consignment Model

The RealReal provides a relatively hands-off experience for consignors by managing authentication, pricing, photography, copywriting, listing, storage, customer service, and fulfillment. This differentiates the company from peer-to-peer marketplaces where sellers are responsible for substantially more of the transaction.

The model is particularly valuable for consumers who prioritize **convenience over maintaining complete control of the selling process**.

Extensive Proprietary Data

Built on more than 50 million item sales, this dataset spans hundreds of millions of data points. The company uses machine learning and data analytics across areas including pricing, authentication, merchandising, supply sourcing, and marketing. (sec.gov)

This creates a potentially important competitive advantage because accurately understanding resale demand requires information about brands, categories, condition, scarcity, price sensitivity, and changing consumer preferences.

Broad and Unique Assortment

Unlike retailers that primarily sell current collections, The RealReal can offer products spanning brands, decades, collections, and creative directors. Its inventory includes contemporary products alongside vintage, discontinued, rare, and potentially collectible pieces.

Because many products are effectively one-of-a-kind inventory, the marketplace can also encourage discovery and urgency.

Weaknesses

Dependence on Consignors for Inventory

The RealReal does not control production of the majority of the merchandise it sells. Its ability to offer desirable inventory therefore depends on convincing consumers to consign luxury goods.

The company explicitly identifies its ability to attract and retain consignors as essential to maintaining supply. If desirable products move to competitors or owners decide not to resell them, The RealReal cannot simply manufacture additional inventory. ([sec.gov](https://www.sec.gov))

Limited Seller Control

The full-service model creates convenience but also requires consignors to surrender some control over pricing and the selling process.

Consumers who prefer to determine their own asking prices, negotiate directly, or retain a larger share of the final transaction may prefer alternatives such as eBay, Poshmark, or Vestiaire Collective.

This creates an inherent trade-off between **convenience and seller control**.

Complex and Labor-Intensive Operations

Every consigned item must move through intake, authentication, evaluation, photography, description, pricing, storage, and fulfillment—processes that are more complex for one-of-a-kind resale items than for standardized new inventory.

The company's authentication centers and retail operations therefore introduce costs and operational complexity that purely peer-to-peer marketplaces may avoid.

Dependence on Trust

Trust is simultaneously one of The RealReal's greatest strengths and one of its greatest vulnerabilities.

A customer purchasing an expensive product expects confidence in authenticity, condition, fulfillment, and service. A consignor expects valuable property to be appropriately handled, priced, and accounted for.

The company acknowledges that problems involving authentication, customer service, fulfillment, or consignor experience could damage its reputation and business. ([sec.gov](#))

Opportunities

Continued Growth of Luxury Resale

The normalization of secondhand shopping provides one of The RealReal's largest opportunities. Resale is increasingly becoming part of mainstream fashion consumption rather than functioning only as an alternative for consumers unable to purchase new luxury.

This potentially expands The RealReal's addressable market from consumers specifically seeking "used luxury" to consumers who simply consider resale **another channel through which to shop for luxury fashion.**

Growing Participation of Younger Consumers

Gen Z and Millennials now represent more than half of The RealReal's customer base. ([therealreal.com](#))

As these consumers gain purchasing power, familiarity with resale could translate into higher-value luxury purchases and greater consignment activity over time. Younger consumers' interest in vintage, fashion history, individuality, and online discovery may also align particularly well with The RealReal's assortment.

Growth of Vintage and Archive Fashion

Vintage remains a promising opportunity: demand increased **432% between 2020 and 2026**, and searches increasingly reference specific decades and creative-director eras. ([investor.therealreal.com](#))

This allows The RealReal to position itself not only as a discount luxury retailer but also as a destination for **fashion discovery and access to archival products unavailable through traditional boutiques.**

AI, Machine Learning, and Personalization

The company's extensive transaction history creates opportunities to further improve pricing, recommendations, search, authentication, merchandising, and marketing personalization.

For example, behavioral signals such as searches, saved items, purchases, price changes, brand preferences, and consignment history could potentially help the platform anticipate what individual consumers are likely to purchase or sell.

The same data could also help identify emerging demand before it becomes obvious through completed transactions.

Circular Fashion

Resale extends the usable lifecycle of existing luxury products and provides The RealReal with a natural position within the circular-fashion economy.

This provides an opportunity to connect luxury consumption with recirculation without positioning resale solely around affordability. For consumers interested in reducing fashion waste, purchasing existing goods can represent an alternative to purchasing newly produced products.

Converting Buyers into Consignors

Because customers can participate on both sides of the marketplace, The RealReal has an unusual opportunity to increase customer lifetime value.

A buyer can eventually become a consignor, while a consignor can use proceeds to purchase another product:

Buy → Own → Consign → Earn → Buy Again

Increasing the percentage of customers participating in both sides of this cycle could simultaneously strengthen demand, inventory supply, and customer retention.

Threats

Authentication Failures and Counterfeit Risk

Counterfeit luxury goods represent one of the most significant threats to The RealReal's positioning.

Because authentication is central to the company's value proposition, even relatively isolated authentication failures can potentially create reputational consequences beyond the individual transaction. The company acknowledges that failures to accurately authenticate products could damage consumer confidence and its brand. ([sec.gov](#))

This creates an unusual relationship between operational accuracy and marketing:
authentication performance directly affects brand equity.

Intense Competition

The RealReal competes with specialized luxury platforms such as Vestiaire Collective, Fashionphile, and Rebag as well as broader marketplaces including eBay and Poshmark.

These competitors offer different advantages. Peer-to-peer platforms can provide sellers with greater pricing control, while companies such as Fashionphile and Rebag can offer more immediate selling options for certain products.

Traditional luxury brands could also become stronger competitors if they expand their own resale, trade-in, or certified pre-owned programs.

Economic Conditions

Luxury purchasing is influenced by consumer confidence and discretionary spending. Economic downturns, inflation, or other pressures could reduce consumers' willingness to purchase expensive discretionary products.

However, the effect on resale could be complex. Greater price consciousness could potentially encourage some consumers to substitute pre-owned products for new luxury, while financial pressure could simultaneously encourage more owners to consign products. Economic weakness could therefore affect The RealReal's supply and demand differently.

Changing Fashion Trends

Resale values can change as brands, designers, styles, and aesthetics move in and out of fashion.

A product that commands significant demand today may lose desirability as consumer preferences shift. This creates inventory and pricing challenges but also increases the importance of The RealReal's marketplace data and ability to identify trends quickly.

Competition for High-Quality Supply

The RealReal must compete not only for buyers but also for **inventory**.

A desirable Hermès, Chanel, or Cartier item could potentially be sold through several competing channels. Fashionphile, Rebag, Vestiaire, eBay, auction houses, local consignment businesses, and private sales can all compete for the same product.

This means consignor acquisition is effectively a second form of customer acquisition. If competitors provide better payouts, greater control, faster payment, or a preferable selling experience, valuable inventory may migrate away from The RealReal.

Strategic Implications

The SWOT analysis highlights an important tension within The RealReal's business model. Many of its greatest strengths have corresponding risks.

Authentication expertise creates trust → but authentication failures can disproportionately damage the brand.

Full-service consignment creates convenience → but reduces seller control and introduces operational costs.

A broad marketplace creates discovery → but depends on continually acquiring desirable inventory.

Extensive marketplace data supports pricing and personalization → but its value depends on effectively translating data into better decisions.

Luxury resale growth expands the addressable market → but simultaneously attracts more competition.

The company's long-term opportunity therefore lies not simply in selling more pre-owned luxury products, but in using its **brand trust, marketplace scale, data, authentication capabilities, and buyer-consignor ecosystem** to make resale easier and more valuable than competing alternatives.

Marketing Recommendations & Questions for Quantitative Analysis

The preceding analysis suggests that The RealReal's competitive advantage depends on more than offering pre-owned luxury products. Its position is supported by authentication, marketplace scale, convenience, proprietary data, access to unique inventory, and its ability to understand changing consumer demand. The company's next marketing opportunities therefore lie in using these capabilities to strengthen discovery, improve value transparency, acquire desirable inventory, and deepen relationships with consumers who participate as both buyers and consignors.

The following recommendations connect these marketing opportunities with quantitative questions that can be investigated using SQL, statistical analysis, and machine learning.

Recommendation 1: Make Resale Value More Visible to Consumers

The RealReal possesses extensive information about how luxury products perform in the secondary market. As noted earlier, it draws on more than 50 million item sales and evaluates over 170 pricing attributes. (therealreal.com)

This information could potentially become a stronger consumer-facing component of the shopping experience.

Rather than displaying only the current selling price, The RealReal could provide shoppers with additional resale intelligence when sufficient historical data are available, such as typical resale ranges, historical price movement, relative value retention, or demand indicators.

For example, a shopper considering two similarly priced handbags could potentially see that one model historically demonstrates stronger secondary-market demand or value retention.

This could reinforce The RealReal's positioning as not merely a place to purchase luxury goods, but as an **authority on what luxury products are actually worth in the secondary market**.

Questions for quantitative analysis:

- Which brands demonstrate the highest average resale prices?
- Which product categories demonstrate the strongest value retention?
- How does resale performance vary within a brand?
- Which products appear to maintain unusually strong secondary-market value?
- How strongly does original retail price predict resale price?
- Are certain brands more price-resilient than others?

Recommendation 2: Use Predictive Analytics to Identify High-Potential Inventory

One of The RealReal's primary challenges is that it cannot manufacture additional inventory when demand increases. The company must convince owners of desirable luxury products to consign them.

This makes early identification of changing demand particularly valuable.

The company's 2026 Resale Report demonstrates that search and saved-search behavior can provide early signals of accelerating consumer interest. Saved searches increased 136% for Alaïa, 96% for Miu Miu, and 88% for Loewe, for example. The RealReal describes its proprietary data as providing insight into demand, supply, scarcity, and value at the individual-item level. (investor.therealreal.com)

The company could continue using these signals to identify brands, categories, and products where demand is increasing faster than available supply and target potential consignors accordingly.

For example, if demand for a particular Miu Miu bag were increasing while marketplace availability remained limited, marketing resources could be directed toward consumers likely to own that product or similar products.

This transforms consignor acquisition from:

"Sell your luxury goods with us"

into something more targeted:

"Demand for the luxury products you own is increasing."

Questions for quantitative analysis:

- Which brands and categories are experiencing increasing resale prices?
- Which categories appear to have high demand relative to available inventory?
- Which brands show the greatest changes in average or median listing price over time?
- Can historical trends help identify products likely to increase in resale value?
- Are changes in product availability associated with changes in price?

Recommendation 3: Strengthen Positioning Around Fashion Discovery and Archive Access

The RealReal should continue positioning itself as a destination for **fashion discovery**, rather than primarily emphasizing discounted luxury.

Traditional luxury boutiques generally focus on current collections. The RealReal can simultaneously offer current pieces, discontinued products, vintage items, and designs associated with earlier creative directors.

This distinction is becoming more important as vintage demand and decade-specific searches continue to climb, and as searches grow more specific to individual designers and creative eras. (investor.therealreal.com)

The RealReal could further develop editorial collections, personalized recommendations, and search experiences around concepts such as:

Designer Eras

Fashion Decades

Archive Finds

Emerging Collectibles

Future Classics

Under-the-Radar Designers

This would differentiate the platform from competitors primarily emphasizing price or transactional resale.

Questions for quantitative analysis:

- Do vintage products command different prices from contemporary products?
- Which brands have the strongest vintage markets?
- Which designers or categories appear most frequently among high-value vintage listings?
- Does product age have a linear relationship with resale price, or do certain periods command premiums?
- Are particular combinations of brand and product category associated with higher prices?

Recommendation 4: Personalize Marketing Around Customer Motivation

The target-market analysis suggests that The RealReal's customers should not be treated as one homogeneous group. A value-oriented shopper, vintage collector, handbag enthusiast, sustainability-conscious consumer, and repeat consignor may respond to very different marketing messages.

The company's existing data infrastructure provides opportunities to personalize communication according to observed behaviors such as brand preferences, searches, purchases, saved products, price sensitivity, and consignment history.

A consumer frequently searching for archival Prada, for example, could receive different recommendations from a consumer primarily purchasing contemporary fine jewelry.

Similarly, consignor marketing could potentially be personalized according to current marketplace demand for products a customer has previously purchased or consigned.

The RealReal already states that it uses data science to predict buyer and consignor preferences and uses proprietary machine-learning technology across areas including marketing, pricing, merchandising, and supply sourcing. ([sec.gov](#))

Questions for quantitative analysis:

- Can products be grouped into meaningful segments based on price, brand, category, condition, and other characteristics?
- Are there identifiable clusters of brands with similar resale characteristics?
- Which variables best distinguish high-value from lower-value resale products?
- Could product-level clustering support different merchandising or promotional strategies?

Recommendation 5: Encourage More Buyers to Become Consignors

One of The RealReal's strongest opportunities is its marketplace flywheel.

As noted earlier, 16% of buyers had also consigned and 50% of consignors had also purchased within the past year. The company explicitly identifies increasing crossover between buyers and consignors as an opportunity to strengthen the marketplace. ([sec.gov](#))

The RealReal could continue reducing friction between ownership and resale by making estimated resale value more visible throughout the ownership lifecycle.

A customer who previously purchased a handbag through The RealReal could potentially receive messaging such as:

"Thinking about something new? See what your bag may be worth today."

This could encourage customers to treat their luxury wardrobes as assets that can circulate through the marketplace rather than as one-time purchases.

Increasing buyer-to-consignor conversion could create several benefits simultaneously:

**More inventory → greater assortment → more buyer engagement → more purchases
→ more future consignors**

Questions for quantitative analysis:

- Which product categories would provide the strongest potential resale incentives?
- Which brands retain enough value to make reconsignment particularly attractive?
- How quickly do different categories depreciate?

- At what price points might resale value become meaningful enough to encourage reconsignment?

Recommendation 6: Use Predictive Pricing to Support Both Buyers and Consignors

Pricing represents the clearest opportunity to connect the marketing analysis with machine learning.

The RealReal already uses historical and real-time data, proprietary models, and human expertise to price individual products. The company says its models are designed to balance value for buyers and consignors while targeting sales within approximately 90 days. (therealreal.com)

A simplified version of this business problem can therefore form the predictive component of this project.

The central research question is:

To what extent can observable product characteristics predict the resale price of a luxury item?

Potential predictors include:

Brand

Product category

Product type

Condition

Material

Color

Age or collection year

Original retail price, when available

Vintage status

Current availability or scarcity proxies

Several regression models could be compared, beginning with a simple linear regression as a baseline and progressing to models capable of capturing nonlinear relationships, such as Random Forest or Gradient Boosting.

Model performance could be evaluated using measures such as **MAE, RMSE, and R^2** , while feature importance or model interpretation techniques could identify which characteristics have the strongest relationships with resale price.

The objective would not be to recreate The RealReal's proprietary pricing system. Instead, the analysis would investigate whether publicly observable product characteristics contain enough information to meaningfully explain differences in luxury resale prices.

Proposed Quantitative Research Questions

Based on the marketing analysis, the quantitative portion of this project will focus on three levels of analytics.

Descriptive Analytics — SQL

What does the luxury resale marketplace currently look like?

Potential questions include:

- What are average and median listing prices by brand?
- How do prices vary by product category?
- Which brands have the greatest number of listings?
- How does condition relate to price?
- Which brand-category combinations command the highest prices?
- How do price distributions differ across brands?

Diagnostic Analytics — SQL + Statistical Analysis

Why do resale prices differ?

Potential questions include:

- How strongly is condition associated with price?
- Does the relationship between condition and price differ by category?
- Does vintage status correspond with higher prices?
- Do particular materials command premiums?
- How much price variation exists within the same brand?
- Are brand and category interactions important?

Predictive Analytics — Machine Learning

Can resale prices be predicted?

The primary modeling question will be:

Can brand, category, condition, material, age, and other observable product characteristics predict luxury resale price?

Secondary questions include:

- Which variables contribute most strongly to predictions?
- Does a nonlinear model outperform traditional regression?
- Are some categories easier to predict than others?
- Where does the model make its largest errors?
- Do those errors reveal products whose value depends on factors not captured in the dataset?

Transition to the Quantitative Analysis

The marketing analysis demonstrates that data is central to The RealReal's business model. Unlike traditional retailers that largely control their own product supply and retail pricing, The RealReal must continuously estimate the value of unique products while responding to changes in consumer demand, scarcity, condition, and fashion trends.

The quantitative portion of this project will therefore investigate one of the central questions underlying The RealReal's marketplace:

What determines the resale value of luxury fashion?

A relational database will first be developed to organize product, brand, category, condition, and pricing information. SQL will then be used to identify patterns in the resale marketplace. Finally, machine-learning models will test whether these product characteristics can predict resale prices and identify the factors most strongly associated with resale value.

The resulting findings can then be translated back into marketing implications involving pricing, merchandising, consumer targeting, inventory acquisition, and brand positioning.

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